

LEGISLATURE OF NEBRASKA
ONE HUNDRED NINTH LEGISLATURE
SECOND SESSION

LEGISLATIVE BILL 1008

Introduced by Brandt, 32.

Read first time January 13, 2026

Committee:

- 1 A BILL FOR AN ACT relating to the School District Property Tax Relief
- 2 Act; to amend section 77-7305, Revised Statutes Supplement, 2025; to
- 3 change provisions relating to the amount of relief granted; and to
- 4 repeal the original section.
- 5 Be it enacted by the people of the State of Nebraska,

1 **Section 1.** Section 77-7305, Revised Statutes Supplement, 2025, is
2 amended to read:

3 77-7305 (1) The School District Property Tax Relief Act shall apply
4 to tax year 2024 and each tax year thereafter. The property tax relief
5 shall be in the form of property tax credits which appear on property tax
6 statements. Property tax credits granted under the act shall be credited
7 against the amount of property taxes owed to school districts. The total
8 amount of property tax relief granted under the act shall be determined
9 as follows:

10 (a) For tax year 2024, the minimum amount of relief granted under
11 the act shall be seven hundred fifty million dollars. For tax year 2025,
12 the minimum amount of relief granted under the act shall be seven hundred
13 eighty million dollars. For tax year 2026, the minimum amount of relief
14 granted under the act shall be eight hundred eight million dollars. For
15 tax year 2027, the minimum amount of relief granted under the act shall
16 be eight hundred thirty-eight million dollars. For tax year 2028, the
17 minimum amount of relief granted under the act shall be eight hundred
18 seventy million dollars. For tax year 2029, the minimum amount of relief
19 granted under the act shall be nine hundred two million dollars. For tax
20 year 2030, the minimum amount of relief granted under the act shall be
21 the minimum amount from the prior tax year plus a percentage increase
22 equal to the percentage increase, if any, in the total assessed value of
23 all real property in the state from the prior year to the current year,
24 as determined by the Department of Revenue, plus an additional seventy-
25 five million dollars. For tax year 2031 ~~2030~~ and each tax year
26 thereafter, the minimum amount of relief granted under the act shall be
27 the minimum amount of relief from the prior tax year plus a percentage
28 increase equal to the percentage increase, if any, in the total assessed
29 value of all real property in the state from the prior year to the
30 current year, as determined by the Department of Revenue ,~~excluding any~~
31 additional relief provided pursuant to subdivision (1)(b) of this

1 ~~section, with such amount then increased by three percent; and~~

2 (b) If money is transferred to the School District Property Tax
3 Relief Credit Fund pursuant to section 77-4602, such amount shall be
4 added to the minimum amount required under subdivision (1)(a) of this
5 section when determining the total amount of relief granted under the act
6 for the tax year in which the transfer occurs. If no such transfer occurs
7 in a given tax year, the minimum amount required under subdivision (1)(a)
8 of this section shall be the total amount of relief granted under the act
9 for such tax year.

10 (2) To determine the amount of the property tax credit for each
11 parcel, the county treasurer shall multiply the amount disbursed to the
12 county under subsection (4) of this section by the ratio of the school
13 district taxes levied in the current year on the parcel to the school
14 district taxes levied in the current year on all real property in the
15 county. The amount so determined shall be the property tax credit for
16 that parcel.

17 (3) If the real property owner qualifies for a homestead exemption
18 under sections 77-3501 to 77-3529, the owner shall also be qualified for
19 the property tax credit provided in this section to the extent of any
20 remaining liability after calculation of the homestead exemption. If the
21 property tax credit provided in this section results in a property tax
22 liability on the homestead that is less than zero, the amount of the
23 credit which cannot be used by the taxpayer shall be returned to the
24 Property Tax Administrator by July 1 of the year the amount disbursed to
25 the county was disbursed. The Property Tax Administrator shall
26 immediately credit any funds returned under this subsection to the School
27 District Property Tax Relief Credit Fund. Upon the return of any funds
28 under this subsection, the county treasurer shall electronically file a
29 report with the Property Tax Administrator, on a form prescribed by the
30 Tax Commissioner, indicating the amount of funds distributed to each
31 school district in the county in the year the funds were returned and the

1 amount of unused credits returned.

2 (4) The amount disbursed to each county under this section shall be
3 equal to the amount available for disbursement under subsection (1) of
4 this section multiplied by the ratio of the school district taxes levied
5 in the prior year on all real property in the county to the school
6 district taxes levied in the prior year on all real property in the
7 state. By September 15, 2024, and by September 15 of each year
8 thereafter, the Property Tax Administrator shall determine the amount to
9 be disbursed under this subsection to each county and shall certify such
10 amounts to the State Treasurer and to each county. The disbursements to
11 the counties shall occur in two equal payments, the first on or before
12 January 31 and the second on or before April 1.

13 (5) After retaining one percent of the amount received under
14 subsection (4) of this section for costs, the county treasurer shall
15 disburse the remaining funds, which are credited against the amount of
16 property taxes owed to school districts, in the same manner as if such
17 funds had been received in the form of property tax payments for property
18 taxes owed to school districts, meaning any amounts attributable to
19 divided taxes pursuant to section 18-2147 of the Community Development
20 Law shall be remitted to the applicable authority for which such taxes
21 were divided.

22 (6) The School District Property Tax Relief Credit Fund shall be
23 used for purposes of making the disbursements to counties required under
24 subsection (4) of this section.

25 **Sec. 2.** Original section 77-7305, Revised Statutes Supplement,
26 2025, is repealed.